

own ways” or “make it on their own.” Many favor giving their fortunes to charity in order to avoid corrupting their own kin.

This is nonsense, in our view. All wealth either is consumed or must be owned and managed by someone. Serious Old Money accepts the responsibility of taking care of its own money and preparing the next generation to do likewise.

Besides, most charity efforts squander wealth, and many harm the people they were meant to help.

Everyone knows, also, that you should try to give your children as much education as possible. But that, too, is wrong.

And so are Warren Buffett and the other super-rich people who think paying higher taxes will be good for the country. It won't be, and Buffett must know it.

The closer you look, the more you see that the ideas most people have about wealth—and how to hold on to it—are silly, superficial, and probably a kind of financial suicide.

Not that we claim to have the ultimate truth on the matter. But, at least, we can see that most of the ideas you find on the subject are humbug.

As you will see, family money is very different from other kinds of money—even the money of the rich. It requires different treatment, different management, different security measures—a different investment philosophy—even a different cultural bias.

There are a lot of families. And there are a lot of rich people. But there aren't many rich families, at least not for long. And there's a good reason. Keeping money and the family together over longer than a generation is tough. Statistically, it's unlikely. Practically, it's hard work. Most people don't even want to try. Because it's too hard. Or because they don't even think it is a good idea.

Real family money—Old Money—is rare; it's way out on the edge of the bell curve. And it involves sacrifice, not self-indulgence. It involves giving up, not getting. It involves more work, not more leisure.

It is a challenge, not a reward.

But if you are the sort of person to whom this challenge appeals, the rewards can be very substantial.